nounced what could be its largest investment in India, an elated Naidu had taken to social media to declare that the 'G' in Vizag—the popular name of the port city—now stood for Google. His son and the state's minister for information technology (IT) and human resource development, Nara Lokesh, says the government ultimately wants to build a data centre ecosystem with a total capacity of 6.5 GW around Visakhapatnam. To put that in perspective, India's total installed data centre capacity in 2025 was just about 1.5 GW; global capacity is projected to exceed 200 GW by 2030. Naidu wants Andhra Pradesh to claim a meaningful share of that growth.

Not everyone shares Naidu's enthusiasm, though. Environmental groups warn that these energy- and water-intensive facilities could place enormous strain on the region's natural resources and fragile ecosystems. Critics also question whether these tech giants will generate enough jobs to justify rolling out the red carpet for them.

THE JOBS THAT AREN'T?

At the Google event, Naidu declared that Visakhapatnam would become a "talent destination", creating abundant opportunities for young people and driving "reverse migration" into Andhra Pradesh. To realise that vision, the state is offering one of the country's most generous incentive packages. Besides land allotment at a 25 per cent concession on market value, Google and Reliance have been offered capital subsidies, exemptions from stamp duty and registration charges, reimbursement of State GST, subsidies on power and water tariffs, and exemptions from transmission and wheeling charges. Government estimates suggest incentives for Google's project alone could exceed Rs 22,000 crore over time, while the support extended to Reliance—excluding discounted land—is of a similar scale.

Yet employment projections remain vague—the government order issued for the Google project last October promised "thousands of direct and indirect jobs". But the May order approving incentives for Reliance's project makes no mention of employment. That uncertainty is fuelling anxiety among local youth. Vijay (*name changed*), a computer science graduate from Tarluvada, watched with excitement as work began near his village after his Dalit family, like several others, gave up two acres of land for the Google project coming up there. Initially hopeful of finding work there, he has since become less certain. "I don't know...they now say there won't be many jobs as such requirement is less in the data centres," he says.

The opposition Yuvajana Sramika Rythu (YSR) Congress Party has seized upon the issue. Former industries minister Gudivada Amarnath argues that "despite public claims of large-scale employment, Google's agreement suggests that the project may generate only around 200 direct jobs". Speaking on condition of anonymity, one senior IT official involved in the state's data centre initiative argues that judging such projects solely by direct jobs is "a flawed calculation". Another official involved in negotiations with Google tells INDIA TODAY that direct employment at either the Google or the Reliance facility "might not be more than 1,000... as is the case world over".

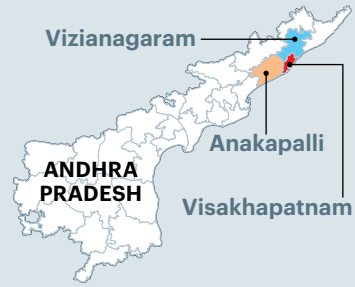
But the government contends that the larger opportunity lies beyond the facilities themselves—from ancillary industries to AI infrastructure, cloud services and startups dependent on large-scale computing capacity. The first official claims that, over the next decade, this wider ecosystem could create well up to a million jobs. But even Cyberabad took nearly three decades to generate that many technology jobs. Data centres, by contrast, are inherently far less labour-intensive than software parks.

BUILDING THE VIZAG HUB

A data centre powers AI, cloud computing and the digital economy by storing, processing and moving vast volumes of data

1.5 GW
India's total data centre capacity in 2025

3 GW
Announced capacity around Visakhapatnam; target: 6.5 GW



GOOGLE AI HUB
Raiden Infotech (Google subsidiary), AdaniConneX & Airtel's Nxtra

Location: Tarluvada, Adavivaram (Visakhapatnam) & Rambilli (Anakapalli)

Capacity: 1 GW

Investment
$15 bn (₹1.4 lakh cr.)

RELIANCE DATA CENTRE
Reliance Industries

Location: Bhogapuram (Vizianagaram)

Capacity: 1.5 GW

Investment
₹1.08 lakh cr.

SIFY-META DATA CENTRE
Sify Technologies & Meta

Location: Paradesipalem (Visakhapatnam)

Capacity: 0.5 GW

Investment: ₹15,000 cr.